

BEFORE THE FEDERAL MARITIME COMMISSION

SAMSUNG ELECTRONICS AMERICA, INC.	)	
	)	
	)	
Complainant,	)	
	)	
v.	)	Docket No. 23-01
	)	
SM LINE CORPORATION	)	
	)	
Respondent.	)	
	)	

**COMPLAINANT’S OPPOSITION TO RESPONDENT’S
AMENDED MOTION FOR EXTENSION OF SCHEDULING ORDER**

Samsung Electronics America, Inc. (“Complainant” or “SEA”), by and through its undersigned counsel, submits this Opposition to Respondent’s Amended Motion for Extension of Scheduling Order (the “Motion”) filed by SM Line Corporation (“SM Line” or “Respondent”), on Monday, August 28, 2023. Am. Mot. to Ext. Scheduling Order, Dkt. 19.

The amended motion seeks to extend the overall case schedule by nearly 5 months, resulting in Complainant’s reply brief being filed on May 13, 2024, over a year after the Commission issued a Notice of Filing of Complaint and Assignment on April 19, 2023. The issue for decision in this Motion is whether SM Line has established good cause for the requested extension of the Scheduling Order, including *all deadlines* in the Scheduling order, such that the case schedule is extended by nearly 5 months from December 20, 2023 to May 13, 2024.

SEA respectfully submits that SM Line has not and that SEA is already prejudiced by the notable delay involved in SM Line failing to move with the urgency necessary in this reparations matter involving millions of dollars in demurrage and detention charges paid by SEA.

FACTS

Following SEA's filing of its complaint on April 19, 2023, an Initial Order was issued by Chief Administrative Law Judge Erin M. Wirth on April 21, 2023. Initial Order, Dkt. 10. In it, Chief Judge Wirth reminded the parties the initial decision was required to be issued within one year. Dkt. 10. To accomplish this, discovery was to be completed within 150 days of the service of SM Line's answer. When addressing discovery, the parties were warned, "requests to extend established deadlines will be reviewed for good cause even if parties agree to the extension." Dkt. 10 at 3, Section 7.

The Court Adopted the Parties' Proposed Case Schedule

On May 12, 2023, SM Line filed its answer to SEA's complaint and, among other affirmative defenses, averred at number 9: "SEA has failed to join other critical and necessary parties to this proceeding." Answer, Dkt. 11.

On May 25, 2023, the parties submitted a joint status report and proposed discovery schedule. Joint Status Report and Proposed Discovery Schedule, Dkt. 13. In it, the parties agreed to the exchange document requests and interrogatories by June 9, with completion of its document productions by August 18, all fact depositions by September 29, and all discovery by October 9 (including expert discovery). Dkt. 13. SM Line added an observation that completing discovery within 150 days could be a challenge while SEA stated it would move as expeditiously as possible to meet its obligations. Dkt. 13. Nowhere in SM Line's observations did it request, or even comment, as to the need to add time to the schedule to address third-party discovery, let alone third-party claims.

On June 2, 2023, Chief Judge Wirth issued the Scheduling Order, which remains the controlling document in this proceeding. Scheduling Order, Dkt. 14. In it, Chief Judge Wirth

adopted every deadline in SM Line and SEA's proposed scheduling order. Dkt. 14. Deadlines were then added for the parties' briefs, proposed findings of fact, and the appendix, resulting in a completion date of December 20, 2023.

The parties timely exchanged document requests on June 9, 2023 and the actions following these initial requests diverged substantially between the parties thereafter.

SEA Worked Diligently To Fulfill Its Discovery Obligations

SEA timely served its responses to the SM Line document requests and interrogatories on July 10, 2023. Mindful of the August 18, 2023 deadline for the production of all documents, SEA worked diligently with the assessment of information and data, calling on associates and document review attorney professionals with appropriate oversight from partners during regular check-ins. On July 17, 2023, one week after serving its responses to SM Line's request for documents, SEA made its initial production of documents responsive to SM Line's requests with bates range 00001-0027419. On August 7, 2023, SEA made its second production of documents responsive to SM Line's requests with bates range 0027420-0040971. On August 18, 2023, SEA made its third and final production of documents responsive to SM Line's requests with bates ranges 0040972-0065417.

On August 28, 2023, SEA served SM Line with notices of deposition for six individuals at SM Line, including five individuals referenced in SM Line's August 18, 2023 revised responses to SEA's interrogatory responses as persons with relevant information concerning SEA's disputed demurrage and detention charges. SEA's deposition notices stagger deposition dates between October 31, 2023 to November 16, 2023, mindful of SM Line's representations that it cannot complete the full production of documents before October 17, 2023.

SM Line's Delayed Document Production

SM Line served its responses to SEA's document requests and interrogatories ten days late, on July 21, 2023, and some four days after SEA made its first production of documents. On August 15, 2023, a mere three days before the August 18, 2023 deadline for the production of all documents under the Scheduling Order, SM Line made an initial production of documents with bates range SM Line 00001-0035518. This initial production of documents imposed little burden on SM Line to produce. Indeed, it contained only 130 emails, all in English. The remaining pages were SM Line invoices which SEA already had in its possession as SEA was forced to make payments on these invoices in order to receive its cargo.

On August 16, 2023, the day after its initial production, SM Line filed its motion for an extension of the Scheduling Order, seeking relief from the August 18, 2023, deadline that was only two days away, and an extension of every Scheduling Order deadline. Mot. for Ext. of Scheduling Order, Dkt. 17.

On August 18, 2023, SM Line did not complete its document production and produced no further documents by the Scheduling Order deadline.

On August 21, 2023, the Presiding Officer issued an Order Setting Status Conference for August 22, 2023, following the solicitation from the parties of an agreeable time to discuss SM Line's extension motion. Order Setting Status Conference, Dkt. 18. On that same day, SM Line sent a deficiency letter to SEA concerning SEA's production. SM Line also made its second (and final to date) production of documents with bates range SM Line 0035519-0044042, three days after the August 18, 2023 deadline.

SM Line is Asked to Clarify Its Plan for Fulfilling its Discovery Obligations

The Presiding Officer held the status conference with counsel for the parties on August 22, 2023. During the conference, the Presiding Officer required the parties to discuss an “actual plan” to complete fact discovery, expert discovery, and the submissions of legal briefs with supporting documents. The parties were encouraged to meet and confer again following the status conference.

On the evening of August 23, 2023, SEA emailed SM Line seeking clarification regarding the “actual plan” requested by the Court. Removing comments concerning mediation between the parties, counsel for SEA stated in relevant part:

During our call on Tuesday, SEA advised that it has completed its document production, that it expects to have two experts, and that it expects to need in and around 10 deponents of SM Line. We will send the first notices for SM Line witnesses on Friday, dates to occur weeks after SM Line documents are completed.

So much of the planning is impacted by when SM Line can complete its document production in a meaningful manner. That is, SEA cannot have a document dump on the last day the Judge provides for documents to be produced. As SEA produced documents on a rolling basis, the same will be expected of SM Line. In order to further assess the time sought by SM Line, its “actual plan” to use the term of the Judge, and the like, we request the following information:

- Who are the SM Line document custodians you are collecting documents from and where are they located? We need a better understanding of the SM Line document process to date and the document issues faced. As an example, when Zim sought and received some additional time for documents to be produced, it submitted detailed declarations from its counsel of record and in-house counsel addressing discovery (see enclosures). This is the level of detail, in the form of a sworn declaration, we would appreciate before the Monday amended motion deadline set by the ALJ so we can assess the need and propriety of schedule extensions. We expect the ALJ expects this level of granularity, too, when questioning SM Line about its review per day rates and specifics as to use of document-assisted technology. Has SM Line employed this type of document-assisted process? Has SM Line employed contract attorneys to expedite the document review and translation questions posed by the production issues?
- In connection with the data collected and searched, what search terms are being used to meet the SEA requests for documents? We do not want to face the surprise of learning that data was not searched or overlooked due to difficulties.

- When can documents be produced in connection with the following individuals noted in SM Line’s supplemental responses to Rog 1?
 - Kwang Kuk Choi (Vice President)
 - YeonHui Yi (Deputy Senior manager)
 - Joan Gaston (Manager)
 - Chian Ma (Manager)
 - Christopher Solarez
- ➔ We will be noticing these deponents on Friday and will select dates in and around a few weeks after the two months SM Line has represented it needs. In order to be able to get the depositions completed, the documents and emails for at least these five individuals need to be frontloaded.
- ➔ We are looking for SM Line to commit to produce all emails/documents concerning these individuals within the first 20 days of the 60 days SM Line seeks. Within the first 40 days, SM Line will produce the documents from the key custodians noted in the first bullet above.
- What are the specific names of the “third-parties” companies with whom SM Line states it needs discovery from? Has SM Line issued and third-party subpoenas to these companies? Does SM Line intend to ask for documents only or depositions? By which specific date will it commit to file the third-party complaints bandied about? Without this information we cannot build it into a potential schedule as required by the ALJ
- How many SM Line experts does it intend to engage? We discussed a three week potential window; both parties exchange expert reports on x date following the end of fact depositions (no rebuttal report window for either party); one week off; then SEA expert witness deposes in week two; SM Line expert deposes in week three (for a total of a three week process).

I appreciate that following the ALJ call, our call started to discuss these matters and that you needed to confer with your litigation team of Vince and Kaspar. With the benefit of additional days and taking into the account the expectations of the ALJ, response to these questions will assist with the process. I’ll be glad to join a call to discuss further tomorrow or Friday, of course, in order to meet the Monday deadline.

SM Line’s response to SEA’s email was marked a confidential communication and is not quoted herein. But it did not adequately address a number of key issues raised.

On August 25, 2023, counsel for the parties, following further email exchanges, held a meet and confer concerning a potential schedule and could not reach a joint agreement. SM Line’s amended motion followed.

On August 28, 2023, SM Line submitted an amended motion which reads strikingly similar to its original motion two weeks prior, repeating much of it. Dkt. 19.

ARGUMENT

SM Line's amended motion does not contain a viable "actual plan" to complete work necessary in this proceeding on a timely basis and ignores the statutory timetable for an adjudication of SEA's claims before the FMC. Nor has SM Line shown a good faith basis to delay the proceeding anywhere close to the additional time sought.

SEA has requested and SM Line has failed to provide detailed information that is foundational to a workable plan. SM Line's email responses and amended motion do not address key issues, including:

- (i) The identity of the SM Line custodians for which documents were produced;
- (ii) Whether SM employed technology-assisted document review, as asked by the Presiding Officer during the status conference;
- (iii) If SM Line employed contract attorneys to expedite the document review and translation questions posed by the production issues;
- (iv) Whether SM Line will conduct a rolling production of SM Line emails from the five SM Line personnel it identified as relevant within 20 days of the extended deadlines order so that depositions could proceed timely for those individuals; and
- (v) what SM Line contemplated with respect to the timing and number of "third-party" subpoenas and parties allegedly needed to adjudicate this dispute.

SM Line should have been able to explain the steps it has taken to justify the proposed prolongation of the case schedule and ensure the schedule extension is properly calibrated to avoid unduly delaying the case's resolution.

Here, SM Line's vague responses leave the Presiding Officer and SEA to speculate as to SM Line's "actual plan" for completing discovery and the alleged "good cause" for extending the overall case timetable. In regard to extended time needed for discovery, SM Line offers the following reasons:

Evaluating the validity of the allegations made by Complainant necessitates detailed examinations, which include, among other aspects, an analysis on a container-by-container basis and specific review of each shipment/movement histories. Furthermore, Counsel understands that Respondent may need to file motion(s) to obtain the Court's approval for the issuance of third party subpoenas or third party claim(s), based on what is learned during the discovery process from Complainant's witnesses.

Dkt. 19. at. There are two statements in SM Line's explanation for needing months upon months of additional time. First, an analysis on a container-by-container basis and each shipment and movement on SM's unreasonable practices and charges violative of the Shipping Act is not germane to the discovery process.¹ The question here is the timetable for producing documents and completing witnesses – not the timetable to analyze the discovery.

Second, the reference to "motion(s)" as to "third party subpoenas or third party claim(s)" is likewise misguided. What additional time does SM Line need? In its answer to SEA's complaint, it referenced potential entities of interest and, as far as SEA knows, has taken no steps whatsoever as to subpoenas. It could not even identify the potential parties when SEA pressed in its August 22 email. As to third party claims, this is even more baffling. SM Line made no accounting in the proposed scheduling order for this need, months have passed since the Scheduling Order was issued with no reference to third party claims deadlines, and no reason was provided whatsoever for SM Line failing to take any action whatsoever to date. Nor is it even

¹ Nor is this a case where either SM Line or SEA need page by page review of individual invoices and shipping documents. Both parties have detailed business databases and records pertaining to the shipments, charges and payments.

apparent what such “third-party claims” might be, nor why they would impact the schedule in this proceeding. SM Line does not need to wait to see what is learned “during the discovery process from Complainant’s witnesses.” SM Line shipped containers, issued charges, it retained truckers, its used terminals, it entered into agreements and it charged and collected demurrage and detention on SEA container moves.² Having undertaken no meaningful work since the April 2023 filing, SM Line now simply wants more time to consider what it may or may not do when it gets around to it. *See In re Pac. Fertility Ctr. Litig.*, No. 18-CV-01586-JSC, 2019 WL 6911675, at *2 (N.D. Cal. Dec. 19, 2019).) (denying discovery schedule extension where movants “...do not specify either how much time they will need or what discovery they need, ” [and] because “[a]bsent such information, [the movants][] cannot establish cause, let alone good cause, for modifying the discovery and trial schedule.”)

SM Line also claims in conclusory terms that this is a more complex case than some (Dkt. 19. at 2-3), and notes that “thousands” of documents are in a foreign language. Dkt. 19 at 2. The existence of some foreign language documents is not at all uncommon. As to complexity, SM Line has not provided any information regarding its document-review methodology. Nor does it explain why it cannot produce documents from its many key US-based personnel as referenced above on a rolling basis to avoid a document dump on the eve of the discovery cutoff.

Based on these reasons—and additionally because it is SM Line’s “first request for an extension”— SM Line asserts that “good cause has been demonstrated to extend the deadlines in the Scheduling Order....” Dkt. 19. at 6. SM Line’s conclusory claims merit little weight as they are devoid of any factual basis. Aside from a *single* reference to “good cause” in the conclusion of its Motion, SM Line does not even attempt to explain what good cause SM Line has in seeking

² SM Line does not need to hear from SEA witness to know what SM Line did. And seeking to extend discovery so that a party can see what discovery reveals about its own conduct is improper.

an extension.³ Indeed, it is customary for a party seeking a considerable extension, let alone a modest extension, both in the FMC and federal court to submit declarations from counsel and its client as to the exact steps taken to meet its discovery obligations, with reasons for how it fell short and what exact steps it will take to meet further deadlines. *See, e.g., Arietta v. City of Allentown*, No. 04-CV-5306, 2006 WL 8459383, at *1 n.1 (E.D. Pa. June 19, 2006) (finding that “plaintiffs’ bare allegation that their subpoena was based upon newly discovered information is not, in itself, sufficient to establish good cause to extend the discovery deadline”); *see also AMW Material Testing, Inc. v. Town of Babylon*, 215 F.R.D. 67, 72 (E.D.N.Y. 2003) (“To show good cause, particular and specific facts must be established rather than conclusory assertions.”)(citations omitted). Here, there is no substantiation in the form of actual facts, affidavits or declarations for the basis behind its tardy document production.

SM Line simply declined to submit anything like even confirming the daily pace of its document review, the first question asked by the Presiding Officer to counsel. Counsel was unsure of the exact pace on August 22, 2023, which is surprising, but had six days to confirm this reasonable inquiry and chose not to in its amended motion. And nowhere does SM Line adequately explain why it should be permitted to unilaterally set aside the deadlines in a Scheduling Order, deadlines that the parties submitted in a joint proposal which was agreed to, and which SEA relied upon when meeting its document discovery obligations by the August 18, 2023 document production deadline.

Perhaps the most concerning aspect of SM Line’s proposed case schedule is that while seeking a two-month extension of its document production deadline, it has added other unjustified

³ *See, e.g.,* April 21, 2023 Scheduling Order executed by Chief Judge Wirth at 3, section 7 (“All requests for extension of time will be reviewed for good cause, even if the parties agree to the extension.”). Dkt. 10.

and unexplained deadline extensions to other deadlines that would extend the overall case schedule by nearly 5 months – i.e., Complainant’s reply brief and responses to proposed findings of fact would be due May 13, 2023, instead of December 20, 2023 under the parties’ original schedule.

SM Line’s extension request is little more than an attempt to avoid responsibility for failing to meet the Scheduling Order’s requirements. It fails to meet the applicable good cause standard and would have the perverse result of rewarding SM Line’s dilatory conduct. *See, e.g., Johnson v. Mammoth Recreations, Inc.*, 975 F.2d 604, 609 (9th Cir. 1992) (“Good cause” exists when a deadline “...cannot reasonably be met despite the diligence of the party seeking the extension.”) Moreover, it would prejudice SEA (which met its discovery obligations without an extension and for which SM Line will have SEA’s documents to prepare for depositions for months of additional time) and delay SEA’s ability to seek reparations on the agreed-upon statutory timeline, undermining the goal of “secur[ing] the just, speedy, and inexpensive determination of every proceeding.” *See* 46 C.F.R. Sec. 502.1. The Presiding Officer can craft appropriate rulings without granting SM Line’s allegedly “necessary” extension demand. The requested extension is untimely, unreasonable and should be rejected.

CONCLUSION

SEA is mindful that the Presiding Officer advised at the status conference that it will allow SM Line additional time to produce its documents. There is not much of a choice as SM Line only sought relief in its initial motion only two days before the deadline instead of raising these issues an appropriate amount of time earlier. Because SM Line will be provided additional time to complete its production of documents, SEA has acted responsibly to move the case as swiftly as possible by issuing initial notices of deposition, with depositions to commence two weeks after the last of the production dates. SM Line should at least be ordered to produce documents on a

rolling basis by internal deadlines within the additional 60 days sought. It should use all available document reviewers and technology-assisted means to meet its obligations instead of relying on “four” or “five” “seasoned counsel and two experienced paralegals.” This is not efficient or swift enough of a pace and process to meet its obligations.

If SM Line will not invest the time and money to meet these base line obligations, addressing the length of fact witnesses and expert witnesses is too much of a challenge. SEA was amenable to three or four weeks of an expert process, with the parties exchanging expert reports on a date certain and having three (SEA’s preferred amount) or four (SM Line’s preferred amount) weeks to complete depositions.⁴ A month’s time in between briefings is suitable.

In sum, having failed to establish good cause, SM Line’s amended motion seeking months and months of additional time should be denied. SEA respectfully requests that the Presiding Officer issue an order denying the Motion in part, setting a much tighter, amended Scheduling Order, and granting such other remedies and relief that are just and proper.

Dated: August 30, 2023

Respectfully Submitted,

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⁴ SEA will agree to a four weeks process if four experts are being employed, as advised to SM Line counsel.

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CERTIFICATE OF SERVICE

The undersigned hereby certifies that on the execution date which appears below, the undersigned served the attached document on counsel at the following email addresses:

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